INVESTMENT DOSSIER VOLUME 4

SURGCLEAR PLATFORM STARTUP FUNDING & CAPITAL STRATEGY

Seed Round Capital Ask, 18-Month Runway Allocation, Milestone Execution Roadmap, Governance Framework, and Investor Exit Economics.

Seeking R 7,500,000 ZAR (~$420,000 USD) Seed Capital to Achieve Operational Breakeven & National Scale

DOCUMENT TYPE
Seed Capital Memorandum & Investor Term Sheet

SEED FUNDING ASK
R 7,500,000 ZAR (~$420k USD)

PRE-MONEY VALUATION
R 30,000,000 ZAR (~$1.68M USD)

POST-MONEY VALUATION
R 37,500,000 ZAR (20% Equity Stake)

RUNWAY TO CASH BREAKEVEN
18 Months (Target: Month 14 Breakeven)

TARGET 3-YEAR INVESTOR RETURN
6.8x 12.4x MOIC (Series A / Strategic Buyout)

1. Funding Requirements & Capital Allocation

SurgClear requires a Seed Round of **R 7,500,000 ZAR** to complete institutional switching house integrations, achieve regulatory accreditation, and deploy the platform across a pilot network of 50 private day clinics and 280 specialist practices.

18-Month Use of Funds Breakdown

Category	Allocation (ZAR)	% of Round	Core Deliverables & Milestones
1. Engineering & Switch Integrations	`R 3,000,000`	40.0%	Full-time Senior Integration Lead, HL7 FHIR Engineer, QA Lead; MediSwitch IPsec VPN, Healthbridge API & Stitch Instant EFT production connectors.
2. Sales, Hospital GTM & Field Ops	`R 1,875,000`	25.0%	Two Key Account Managers (Gauteng & Western Cape); Practice onboarding leads targeting Orthopaedic, ENT, and Day Surgery societies.
3. Regulatory, Licensing & Compliance	`R 1,125,000`	15.0%	BHF switch clearing bureau accreditation, Information Regulator POPIA registration, ECTA Advanced Electronic Signature audit, legal SLA templates.
4. Working Capital & Server Infrastructure	`R 1,500,000`	20.0%	Vercel Enterprise, Supabase Cloud, WhatsApp Business API credits (Infobip/Twilio), professional indemnity insurance, 6-month cash reserve.
Total Capital Raised	`R 7,500,000`	**100.0%**	**Fully funds company to operational cash-flow breakeven**

2. 18-Month Operational Milestone Roadmap

Time Horizon	Milestone Target	Operating Volume	Financial Run-Rate
Months 1 – 3 (Foundation & Sandbox)	Establish corporate entity, register Information Officer, obtain MediSwitch/Healthbridge test sandboxes, deploy Supabase Cloud.	50 Alpha cases (Test environments)	R 0 MRR (R&D Phase)
Months 4 – 6 (Pilot Go-Live)	Launch commercial pilot across 3 private day hospitals (Cure Day Midstream / Fourways) with 15 specialist surgeons and anaesthetists.	500 cases / mo (Gauteng pilot)	R 146,000 MRR (R 1.75M ARR)
Months 7 – 12 (Regional Rollout)	Expand to 15 day hospitals across Gauteng and Western Cape; onboard 80 surgical practices; launch Sirago Gap automated filing feed.	2,500 cases / mo (Regional network)	R 730,000 MRR (R 8.76M ARR)
Months 13 – 18 (National Expansion)	Sign enterprise agreement with Life Healthcare / Busamed; scale to 50 facilities and 280 practices; activate medical co-pay financing.	6,500 cases / mo (Breakeven scale)	`R 1,900,000 MRR (R 22.8M ARR)`

3. Investment Returns & Exit Horizon

Healthcare technology platforms operating mission-critical transaction switching infrastructure command premium enterprise valuation multiples:

Valuation & Exit Scenarios (Year 3 – Year 5)

- **Strategic Trade Sale (Hospital Groups / Insurers):** Acquirers such as Netcare, Discovery Health, or Sanlam / Sirago acquire SurgClear to lock in patient flow and eliminate claims adjudication friction. Typical transaction multiples in South African HealthTech range between **4.5x to 6.5x ARR**.
  - Year 3 Enterprise Valuation (at R58.6M ARR): `R 263 Million R 380 Million ZAR`
  - **Seed Investor Multiple (20% Stake): R 52.6M R 76.0M ZAR (7.0x – 10.1x Cash-on-Cash Return)**
- **Regional FinTech / Switch Consolidator Buyout:** Legacy switching house groups (Altron HealthTech, Healthbridge, SpesNet) acquire SurgClear to upgrade their legacy EDI infrastructure to modern HL7 FHIR and mobile PWA rails.
- **Dividend Cash-Cow Trajectory:** Due to an 85% gross margin and low ongoing CapEx once rails are operational, SurgClear generates over R31M in annual EBITDA by Year 3, capable of delivering sustainable 25%–35% annual dividend yields.

4. Key Risks & Mitigation Strategy

Risk Factor	Severity	Mitigation Strategy
1. Switching House Gatekeeping	Medium	SurgClear utilizes open HL7 FHIR standards and can route via multiple independent switches (MediSwitch, Healthbridge, or direct to scheme web services).
2. Specialist Adoption Inertia	Medium	Focus initial distribution through Practice Management Software (PMS) calendar integrations; offer free reception cockpit trials with zero doctor fees.
3. Regulatory & POPIA Compliance	Low	Strict field-level AES-256 encryption, certified Information Officer governance, and clear Section 59 HealthTech intermediary classification.
4. Hospital Group Enterprise Cycles	Medium	Wedge into independent Day Hospital networks (Cure Day, Advanced Health) with 30-day decision cycles before tackling Netcare / Mediclinic corporate HQ.

> **Conclusion:** SurgClear represents a rare confluence in African technology: a proprietary, regulation-compliant platform attacking an acute, high-value problem in a R250 Billion market with near-zero direct competition. Seed investors enter at an attractive valuation with a clear 18-month path to profitability.